

Now that we know the amount to be invested in tax-saving assets, the next question is how to invest and where to invest for tax benefits. We saw in the assets section that various assets are eligible for Section 80C deductions. We can invest money in these assets and claim a deduction from our taxable income for the same amount. This reduces our tax bill.

We have identified three main investments that are most beneficial and suitable for almost everyone. This is for simplicity and these three can help plan for any financial goal. These include – ELSS (Equity Linked, Mutual Fund like a scheme with a 3-year lock-in for investments), Public Provident Fund (PPF) and National Savings Certificate (NSC). We will plan for 80C deductions using these assets. Let us understand more about these -

These are special types of mutual fund schemes that are linked to equity. Their risk-return characteristic is in line with equity. They come with a 3-year lock-in of capital. These offer the highest return in tax saving instruments as they are the only way to get equity exposure.

PPF are on lines of debt and offer a fixed rate of interest that is quite attractive for a fixed income asset. Also, they fall in EEE category which means we get tax benefits when we invest when we get interested and when we redeem the investment at maturity. They come with 15-year lock-in. Equity funds are better than PPF because PPF has to be invested for 15 years.

